Refund and Compensation Policy v2.3

Meridian Capital

Document Identification and Status

This document, Refund and Compensation Policy v2.3 (Policy ID: POL-RFD-0023), establishes Meridian Capital's formal standards for assessing, approving, and recording client refunds and compensatory credits. Version 2.3 is effective 2026-04-01 and supersedes versions 2.2 and prior. The policy is issued by Client Operations--Remediation Office (CORO) in consultation with Finance Controls & Reconciliation (FCR) and Regulatory Affairs & Conduct (RAC). The authoritative copy is maintained in the Corporate Policy Repository (Record Key: CPR-OPS-REF-023-v2.3), with distribution to Retail Client Services, Institutional Client Coverage, Digital Channels Operations, Finance, Risk & Compliance, and Internal Audit. At 2026-07-12T08:02:31Z, the repository checksum for this version was verified by FCR (Verifier: FCR-AV-1174), with no variances noted against the signed PDF artifact (Artifact ID: A-OPS-230401-REFPOL-v2.3).

Purpose and Intent

This policy codifies Meridian Capital's approach to refund and compensation determinations in order to preserve client trust, comply with applicable conduct standards, and maintain consistent financial treatment across operating units. It provides a unifying framework that integrates operational error remediation, fee correction, and goodwill adjustments under a single governance construct so that similar fact patterns yield consistent outcomes regardless of channel, geography, or business line. The policy is not a marketing commitment; rather, it is an internal control instrument ensuring that where a refund or compensatory action is appropriate, the determination is timely, proportionate, transparent to the client, and supported by complete records suitable for internal and external review.

Scope and Applicability

This policy applies to all Meridian Capital client-facing segments, including (a) Retail Brokerage and Advisory, (b) Private Client & Wealth Management, (c) Institutional Brokerage & Prime Services, and (d) Digital Cash & Payments. Product coverage includes but is not limited to brokerage accounts, advisory fee programs, custody, cash management, payment services, and digital wallet features offered under Meridian Capital entities in the United States, the United Kingdom, the European Union, Singapore, and Canada. The policy governs monetary refunds, fee reversals, interest adjustments, and goodwill credits posted to client accounts, as well as non-monetary compensatory actions that carry a measurable economic value (e.g., fee waivers applied prospectively). It does not change contractual or regulatory rights; it defines Meridian Capital's internal standards for consistent handling of client-impacting issues. Where local law imposes stricter requirements, local procedures must align to satisfy this policy's objectives and applicable law concurrently. The scope includes both client-initiated claims (e.g., service tickets opened by clients) and enterprise-initiated remediations (e.g., control-triggered corrections), as further characterized in Triggers and Intake Channels.

Governance and Accountability

Overall accountability for this policy resides with CORO, chaired by the Director of Client Remediation (Role ID: CORO-DIR-001). The Refund Operations Team (ROT) administers day-to-day determinations, supported by FCR for postings and reconciliations. RAC provides second-line oversight with quarterly thematic reviews focusing on conduct risk, fairness, and regulatory conformance. Internal Audit (IA) performs independent testing according to the Audit Plan (Ref: IA-PLN-26-OPS-07). The Client Remediation Council (CRC), a cross-functional body convened monthly, adjudicates emerging themes and complex determinations that require interpretive guidance. Case-level decisions are recorded in the Helix Case Management platform (System Code: HX-CM), with case metadata synchronized to the Financial Adjustment Ledger (FAL) for downstream reporting. Illustratively, case RC-2026-06-03-02117 (opened 2026-06-03T14:38:05Z by Retail Client Services--East) and RC-2026-06-07-00902 (opened 2026-06-07T09:12:47Z by

Digital Channels Operations) demonstrate end-to-end governance artifacts including adjuster notes, supervisor review, and FCR reconciliation approvals. Escalation routing follows the CORO oversight matrix, enabling visibility for high-impact incidents and facilitating trend analyses across teams and systems.

Definitions and Key Terms

For policy clarity, the following terms are used consistently:

- Refund: A monetary return to the client representing correction of fees or charges not properly assessed, reversal of duplicate postings, or restoration of client funds affected by an operational error.
- Compensation: A monetary or economically measurable credit intended to address inconvenience, service disruption, or other substantiated client detriment not otherwise redressed by a refund alone. Includes goodwill credits and prospective fee waivers recorded at assignable value.
- Adjustment: Any entry posted to an account to implement a refund or compensation decision. Adjustments are coded with a Refund Transaction Code (RTC) and carry a case reference.
- Service Level Clock: The measured time interval between case creation in HX-CM and documented decision, excluding approved periods awaiting necessary client input, as defined in Service Levels and Timeliness.
- Net Loss: The quantitative client detriment calculated as the difference between the amount that would have been realized absent the error and the actual amount realized, net of any offsetting benefits already received.
- Provisional Determination: A documented interim decision sufficient to stabilize client impact (e.g., temporary credit) subject to final validation and reconciliation controls.

Version 2.3 Summary of Changes

Version 2.3 harmonizes service level definitions across retail and institutional segments and refines the categorization schema for triggers to enable improved root-cause analytics in HX-CM. Specifically, the policy clarifies how the Service Level Clock is measured where client input is reasonably necessary to complete a determination; standardizes RTC mapping to the Financial Adjustment Ledger (aligning RTC-04 Fee Reversal, RTC-09 Interest Adjustment, RTC-12 Courtesy Credit); and adds explicit references to the Pricing & Fees Catalog (PFC-2025-11) to improve traceability of fee corrections to source pricing artifacts. It also updates reporting thresholds for the CRC to review monthly trends (now >= 50 cases in a rolling 30-day period sharing a common error code) and includes consolidated language coordinating with the enterprise complaint management standard (CMP-STD-0019) to ensure that refund/compensation outcomes are consistently reflected in complaint closure narratives. During the v2.3 pilot (2026-03-04 to 2026-03-22), 612 cases were processed under draft rules (pilot cohort references: HX-Pilot Tag: PIL-REF-23), with on-time determination at 97.4% and reconciliation completion at 99.1% within target windows. Audit fieldwork memo IA-FW-26-OPS-REF (issued 2026-04-11T16:22:09Z) reviewed the v2.3 controls and noted satisfactory design effectiveness.

Related Standards and References

This policy interfaces with the Financial Adjustment Ledger Standard (FAL-STD-003), Pricing & Fees Catalog (PFC-2025-11), Complaint Management Standard (CMP-STD-0019), Records Retention Schedule (RRS-OPS-07), and the Client Communications Standard (COM-STD-004). Any updates to these artifacts are incorporated into the policy at the next scheduled review cycle, with interim notices issued by CORO where alignment is required to preserve operational consistency. Reference materials are accessible through the Corporate Policy Repository under Ops--Client Remediation.

Policy Principles and Eligibility Framework

Meridian Capital's refund and compensation determinations adhere to principles of fairness, proportionality, and traceability. Fairness requires that clients in comparable circumstances receive comparable outcomes, irrespective of the originating channel or business line. Proportionality ensures outcomes reflect the nature, duration, and magnitude of client impact, addressing both direct monetary effects and substantiated inconvenience where appropriate. Traceability mandates that each determination links to source data (e.g., transaction records, fee schedules, system event logs) and is supported by reasoned analysis that can be independently reproduced by oversight and audit teams.

Within this construct, the policy addresses the following incident classes: (a) fee misapplication or miscalculation relative to the Pricing & Fees Catalog (PFC-2025-11); (b) duplicate charge or erroneous posting; (c) service unavailability or material degradation resulting in measurable detriment; (d) enterprise-initiated remediation arising from control findings or model corrections; and (e) erroneous communication or instruction by Meridian Capital staff leading to a client action that produced a quantifiable adverse outcome. For each class, eligibility is assessed with reference to objective artifacts such as timestamped system events, correspondence archives, and account activity. Non-monetary redress such as prospective fee waivers may be used where it demonstrably addresses the client detriment and is recorded at a verifiable economic value.

Triggers and Intake Channels

Refund and compensation events enter the process through multiple channels that are consolidated in Helix Case Management (HX-CM) for standardized handling. Client-initiated triggers include inbound contacts to Retail Client Services, Institutional Client Coverage, and Digital Channels Support, as well as submissions via authenticated online forms in the client portal. Enterprise-initiated triggers include automated control alerts (e.g., fee variance rules firing in the Billing Quality Monitor), thematic issues identified by RAC, and post-implementation reviews led by Technology Operations following production changes impacting client-facing services. Each trigger is assigned an Intake Source Code in HX-CM to support downstream analytics and reporting.

In Q2 FY26, HX-CM recorded an average monthly intake of 11,420 refund/compensation cases across segments, with 94.6% client-initiated and 5.4% enterprise-initiated. The top incident classes were fee misapplication (37.2%), duplicate charge (19.8%), and service unavailability (11.1%). The median acknowledgment time was 42 minutes across all severities, with 92.3% acknowledged within the policy target. Representative case references include RC-2026-05-18-01477 (Digital Channels Support, duplicate charge) and RC-2026-05-27-03361 (Institutional Client Coverage, billing variance), both demonstrating correct Intake Source Code attribution and linkage to the applicable Pricing & Fees Catalog entries.

Service Levels and Timeliness

The policy sets graduated service levels anchored to a client impact score derived from immediacy of detriment, monetary magnitude, and vulnerability indicators recorded in HX-CM. Priority 1 (P1) cases reflect high and time-sensitive impact, Priority 2 (P2) moderate impact, and Priority 3 (P3) low impact. Acknowledgment targets are within 4 business hours for P1, 1 business day for P2, and 2 business days for P3. Determination targets are within 8 business hours for P1 (provisional determination permitted when necessary to stabilize the client account), 3 business days for P2, and 10 business days for P3. The Service Level Clock begins at case creation in HX-CM and pauses only when additional client input is documented as necessary and requested with a timestamped communication; the clock resumes upon receipt or when sufficient alternative evidence is documented in the case record.

Performance in Q2 FY26 reflected on-time determinations at 96.8% for P1, 95.1% for P2, and 94.4% for P3 across the enterprise. Outliers were reviewed in the CRC meeting held 2026-07-01T13:00:00Z (Agenda Item CRC-26-07-04), with follow-up actions assigned to Retail Client Services--West to address staffing variability observed during a seasonal

peak. Sample SLA-compliant closure is shown in RC-2026-06-14-02790 (P1; acknowledgment in 23 minutes; determination in 5.8 business hours) and RC-2026-06-22-01805 (P2; determination in 1.7 business days).

Calculation Methodologies Overview

Refund and compensation calculations reference authoritative data sources and codified rate tables. For fee corrections, the baseline is the applicable fee schedule in the Pricing & Fees Catalog at the transaction effective date, with the adjustment amount equal to the difference between charged and correct fees, rounded to the nearest cent per standard rounding rules. Interest adjustments leverage the Interest Adjustment Schedule (IAS-2026-01), which specifies applicable rates and day-count conventions for restoring time value associated with incorrect debits or delayed credits. Where a client detriment includes quantifiable ancillary costs (e.g., transfer fees incurred due to an erroneous block), documentation must support the causal linkage and amount.

Goodwill credits may be applied where a substantiated service disruption caused inconvenience without a direct fee or posting error, subject to reasoned justification in the case narrative and consistency with comparative outcomes. All adjustments carry a Refund Transaction Code (e.g., RTC-04 Fee Reversal, RTC-09 Interest Adjustment, RTC-12 Courtesy Credit) to enable aggregation in the Financial Adjustment Ledger. Illustrative application can be seen in RC-2026-06-09-01106 (RTC-04 and RTC-09 combined to correct a misapplied advisory fee and restore interest), with FCR approval at 2026-06-10T10:14:22Z and reconciliation completed in the next ledger cycle.

Auditability and Recordkeeping

Every determination must be fully auditable. HX-CM cases include structured fields capturing incident class, intake source, impact quantification, determination rationale, and links to source artifacts (e.g., transaction IDs, fee catalog references, correspondence). Adjustments posted to client accounts are mirrored in the Financial Adjustment Ledger with a one-to-one mapping to HX-CM case IDs. FCR performs daily reconciliations to confirm that ledger postings match approved amounts and codes, and that postings are routed to the correct general ledger accounts as defined in FAL-STD-003. Records are retained in accordance with RRS-OPS-07, with minimum retention of seven years for case files and supporting artifacts. Periodic quality assurance (QA) testing is performed by the Disputes & Adjustments QA Team, with monthly results reported to CORO and RAC. In May 2026, QA sampled 612 cases enterprise-wide (Sample Plan QA-REF-0526), noting 98.9% documentation completeness and 99.3% correct RTC usage, with targeted coaching issued to teams where narrative sufficiency thresholds were narrowly missed. All findings are tracked to closure in the Governance Action Register (GAR-OPS-REF), with status updates reviewed at the CRC and reported to senior management through the Quarterly Client Outcomes Report (QCOR).

Section 2. Definitions, Scope, and Taxonomy

2.1 Scope of Application

This policy applies to all retail, institutional, and corporate client relationships managed under Meridian Capital legal entities in the United States, Canada, the United Kingdom, the European Union, and Asia-Pacific, and to the full lifecycle of charges or credits originating from brokerage, advisory, margin lending, cash management, and clearing services. The provisions herein govern monetary refunds, fee reversals, interest adjustments, commission rebates, and non-monetary compensation in the form of service credits or goodwill credits, as cataloged in the Master Refund Catalogue (MRC-02 v2.3). Unless otherwise stated in an applicable client agreement, amounts are denominated in the currency of the original transaction and settled through approved payment rails configured for the client's jurisdiction. As validated by the Policy Steward (Finance Policy Office, FPO) on 2026-04-08T16:22:09Z under ticket POL-REF-2026-0017, v2.3 consolidates prior internal memoranda and standardizes terminology across functions.

2.2 Definitions

"Refund" means the return of client-owned funds previously collected by Meridian Capital where a recognized cause (as described in 2.4) warrants a monetary outflow or a ledger reduction of an existing receivable. Refunds may be full or partial. "Compensation" comprises non-monetary or monetary value provided to acknowledge service shortfalls or billing discrepancies, which may include fee reversals, interest adjustments, commission rebates, or time-bound service credits recorded to the client's account. "Goodwill Credit" refers to a discretionary credit posted to a client account without a direct transactional miscalculation but aligned to documented service impact or client experience outcomes. "Service Credit" refers to a defined unit reduction of future charges or provision of additional service capacity and is recorded to deferred compensation general ledger accounts until utilized or expired, whichever occurs first.

For internal recording, the following identifiers are standard: Client Identifier (CID), Account Number (ACC), Invoice ID, Charge ID, Refund Case Number (RCN), and Correlation ID (RID). Illustrative examples include CID 0039184472; ACC 120-441-993; Invoice INV-2026-04-146821; Charge CHG-88F2-641C; RCN RCN-2026-REF-019542; RID ea35d67c-a1c4-44c0-9b90-02866c74ac31. All timestamps are recorded in UTC unless jurisdictional rules mandate alternate presentation formats.

2.3 Taxonomy of Refund and Compensation Types

a) Monetary Refund: A return of funds to the original funding source or, where permitted by client mandate, to an agreed settlement account. Monetary refunds may be "full" (100% of the affected charge group) or "partial" (a calculated proportion of the affected charge group). Currency of settlement aligns to original charge currency; foreign exchange considerations are reflected as separate adjustment lines in the client ledger. The Finance Control Book (CBK-RFD-07, effective 2026-03-28T00:00:00Z) stipulates the chart-of-accounts mapping, with fee revenue reversals generally posted to GL 441120 and FX differentials to GL 519870.

b) Fee Reversal: A negative fee entry that offsets an erroneously applied fee or charge. Fee reversals adjust billed revenue but do not necessarily result in a funds outflow if the invoice remains open.

c) Interest Adjustment: A correction to debit or credit interest arising from valuation date shifts, rate misapplication, or compounding discrepancies. Interest adjustments are recorded to interest income/expense accounts and may be combined with commission rebates where applicable.

d) Commission Rebate and Pricing Adjustment: A rebate linked to trades or services where agreed pricing schedules were not applied. Pricing adjustments may be retrospective to a defined period and are documented against the pricing agreement reference (PRC-AGR-ID).

e) Service Credit and Goodwill Credit: Non-cash compensatory items expressed as a credit unit or monetary equivalent

for future use. Service credits carry standardized attributes (issue date, expiry date, eligible product set) as maintained in the Credit Parameters Register (CPR-11). Goodwill credits are supported by a documented rationale referencing client impact measures and the Service Quality Index (SQI) score at the time of issuance.

2.4 Eligibility Overview and Recognized Causes

Eligible causes are cataloged to ensure like-for-like handling and consistent reporting. Primary categories include: (i) billing miscalculation or fee schedule misapplication; (ii) duplicate charge or duplicate settlement; (iii) service availability degradation measured against published service-level objectives; (iv) regulatory remediation and product rectification actions; and (v) operational posting errors arising from reconciled system variances. Each category anchors to a defined evidence set sourced from the Meridian Billing Platform (MBP), Client Master (CMX), Treasury Workbench (TWB), Atlas CRM (case management), and the Payments Gateway (PGX). For example, SR-2026-04-154903 (opened 2026-04-15T13:47:06Z) documented a duplicate charge root cause validated by Billing Control Team (BCT) on 2026-04-16T09:11:53Z, with ledger confirmation via MBP voucher VCH-2026-0416-9972.

2.5 Reference Data and Source Systems

Accurate adjudication relies on consistent reference data. Client identity and entitlements are sourced from CMX; billing artifacts (invoices, charges, rate cards) originate from MBP; payment instructions and settlement confirmations are maintained in TWB and PGX; and case narratives with client communications are captured in Atlas CRM. Evidence trails are consolidated under the Refund Case Number (RCN) with a single Correlation ID (RID) to bind inputs across systems. Data lineage is preserved in the Enterprise Data Lake (EDL) under domain EDM-BILL-REF, partitioned by booking date (UTC) and region. Control sampling by Compliance & Controls (CCT) validates the presence of CID, ACC, Invoice ID, Charge ID, and RID across the assembled record set before a decision is finalized.

2.6 Measurement and Reporting

Key performance indicators are monitored by Finance Operations Analytics (FOA) and reported at the Refund Governance Council (RGC) monthly session. Core measures include: (i) refund incidence per 10,000 active accounts; (ii) average decision latency (days from case creation to approval outcome); (iii) first-cycle accuracy (share of cases that required no subsequent financial correction); (iv) monetary volume of refunds and compensations by category; and (v) aging distribution of open cases. For Q1 FY26 (data lock 2026-03-31T23:59:59Z; analytics job REF-MET-2026Q1-004), the enterprise reported 3.2 refunds per 10,000 accounts, average decision latency of 2.6 days, first-cycle accuracy of 96.4%, and a composition of 54% fee reversals, 18% service credits, 16% monetary refunds, and 12% interest adjustments by case count. Materiality thresholds for management reporting are recorded in Metric Catalog MTR-REF-09.

2.7 Records, Retention, and Auditability

All records supporting refund and compensation decisions, including narratives, approvals, accounting entries, and settlement confirmations, are retained per Records Retention Schedule RRS-17 (financial records: seven years from booking date, subject to jurisdictional extensions). Each case record includes CreatedBy, ReviewedBy, and ApprovedBy attributes mapped to enterprise directory identifiers (e.g., EMP-ID 741903, EMP-ID 554219). Illustratively, RCN-2026-REF-019542 shows CreatedBy EMP-ID 741903 (Client Services), ReviewedBy EMP-ID 554219 (Billing & Reconciliation), ApprovedBy EMP-ID 330114 (Treasury Operations Duty Manager), with decision timestamp 2026-04-12T14:28:44Z. Audit Services (Internal Audit, IAS) performs periodic trace-through assessments; in the most recent sample (AUD-REF-25-112, fieldwork 2026-02-06 to 2026-02-23), no control design issues were noted, and two minor documentation completeness findings were remediated under CAP-REF-2026-030 by 2026-03-21.

Section 3. Roles, Responsibilities, and Governance

3.1 Governance Framework

Refund and compensation activity operates under a three-tier governance model: operational execution, independent control oversight, and enterprise-level stewardship. The Refund Governance Council (RGC) convenes monthly, chaired by Finance Policy Office (FPO) with standing members from Client Services Operations (CSO), Billing & Reconciliation (BAR), Treasury Operations (TRO), Compliance & Controls (CCT), Risk & Product Control (RPC), and Data Governance Office (DGO). The RGC charter (RGC-CHR v1.8, attested 2026-03-19) sets the agenda for policy reviews, metric evaluation, and systemic improvements. Materials are circulated 48 hours in advance, with meeting minutes archived under GOV-REF-MIN and cross-referenced to tracked actions (e.g., ACT-REF-2026-0427-07 assigned to BAR; status Closed 2026-05-02T10:06:12Z).

3.2 Functional Responsibilities

Client Services Operations (CSO) is accountable for intake quality, client communication alignment to templates, and completeness of the case dossier at the point of handoff to BAR. Billing & Reconciliation (BAR) performs charge-level validation, re-rating calculations where applicable, and ledger impact assessment. Treasury Operations (TRO) confirms funding source availability for monetary refunds, schedules settlement according to approved payment rails, and ensures accurate posting to general ledger accounts in conjunction with Controllership. Compliance & Controls (CCT) administers control attestations, conducts sampling for adherence to approval bands, and monitors case aging against defined service levels. Risk & Product Control (RPC) oversees aggregated exposure from pricing or model-related corrections and performs trend analysis by product. The Data Governance Office (DGO) maintains the data dictionary for core refund attributes and assures lineage traceability from operational systems to the enterprise reporting layer. Finance Planning & Analysis (FP&A) evaluates accruals for expected refunds and aligns financial forecasts with observed run-rates.

3.3 Approval Bands and Decision Authorities

Approval bands are maintained in the Finance Control Book (CBK-RFD-07, effective 2026-03-28) and are reviewed semi-annually. As of v2.3, the following decision authorities apply, by total case amount in original charge currency: (i) up to USD 250 (or currency equivalent)--CSO Supervisor or BAR Analyst as designated approver; (ii) greater than USD 250 and up to USD 25,000--BAR Manager or TRO Manager; (iii) greater than USD 25,000--Controllership delegate or Finance Director. For non-monetary service credits where no cash outflow is involved, CSO Supervisor approvals are in scope up to the equivalent of USD 2,500 measured at issuance value, with BAR review for pricing conformance. Decision outcomes are logged with approver EMP-ID and timestamp, and each approval references the applicable policy paragraph and cause code. For example, REF-OPS-15302 (opened 2026-04-03T11:03:22Z; amount USD 12,740.45; cause code BMS-03) records BAR Manager approval under EMP-ID 612044 with decision timestamp 2026-04-04T15:19:37Z and ledger adjustment voucher VCH-2026-0404-2221.

3.4 Service Levels and Timelines

Service levels are designed to deliver predictable, transparent outcomes. Upon case creation, an acknowledgment is expected within one business day and a decision within five business days, with monetary settlement targeted within two business days following approval, subject to payment rail availability in the relevant jurisdiction. For Q1 FY26, enterprise performance (dashboard REF-SLA-Q1FY26, run 2026-04-02T07:32:18Z) indicates 94.7% of cases met the decision timeframe, 97.9% met the settlement target for domestic payments, and 91.4% for cross-border payments where settlement windows vary. Median end-to-end completion time was 3.9 days. Aging distribution for open cases at quarter-end was 82% in 0-5 days, 14% in 6-10 days, and 4% beyond 10 days, with root-cause analysis attributing the longest tail to multi-invoice reconciliations in institutional portfolios.

3.5 Communication Standards

Client communication is anchored to approved templates maintained by CSO Communications (Template Pack CLN-REF-EN-03 and regional variants). All outbound correspondence includes the Refund Case Number (RCN), a plain-language description of the outcome, and a concise summary of any monetary or non-monetary adjustments. Where multiple products are affected, itemization by product line is required for clarity. The Communication Quality Review (CQR) process samples at least 5% of monthly cases for tone, completeness, and alignment to the policy glossary, with outcomes documented under CQR-LOG and corrective actions tracked in CSO's continuous improvement board. In February 2026, CQR sample CQR-2026-02-REF showed 98.6% adherence, with recommendations to standardize the positioning of the RCN in subject lines for improved client reference.

3.6 Escalations and Dispute Handling

Disputes on outcomes are recorded under the original RCN with an appended dispute suffix (e.g., RCN-2026-REF-019542-D1) and a Dispute Outcome Code from the Dispute Taxonomy (DSP-TAX v1.5). CSO manages the engagement, with BAR and CCT consulted where billing mechanics or control interpretations are material to the client's inquiry. Metrics tracked include dispute incidence per 100 refund cases, reversal rate following dispute review, and average dispute resolution time. Q1 FY26 outcomes indicate a dispute incidence of 1.7 per 100 cases, a reversal rate of 4.2%, and an average resolution time of 3.1 days. The RGC reviews aggregated dispute patterns to inform systemic remediation (e.g., template clarifications or reference data enhancements), as evidenced by RGC action item ACT-REF-2026-0315-04 (closed 2026-04-01T12:44:29Z), which led to refined rate-card descriptors in MBP.

3.7 Training, Attestations, and Change Management

All CSO, BAR, TRO, and CCT personnel with refund responsibilities complete annual training (module FIN-REF-100 for fundamentals; FIN-REF-200 for adjudication and accounting alignment). Completion rates are monitored by HR Compliance (HRC) with quarterly attestations signed by functional leads. As of 2026-03-31, completion stood at 99.2% for FIN-REF-100 and 97.5% for FIN-REF-200 (HR report HRC-TRN-2026Q1-REF). Policy changes follow the Enterprise Change Management Protocol with documented impact assessments. The current release (Refund and Compensation Policy v2.3) was managed under change ticket CHG-FIN-REF-4312, approved 2026-04-05T09:07:11Z, with effective date 2026-05-01. Post-implementation validation (PIV-REF-2026-0508) confirmed alignment between CBK-RFD-07, template updates, and the MBP rule catalog, with two minor documentation edits logged under DOC-EDT-2026-0509 and completed by 2026-05-12.

3.8 Management Information and Oversight

FOA produces a monthly MI pack comprising incidence, monetary volume, SLA performance, dispute trends, and product-level segmentation. The MI pack is distributed to RGC members and Controllership, with versioned artifacts stored under MI-REF in the enterprise repository. Notable Q1 FY26 trends highlighted by MI-REF-2026-03 included a decrease in commission rebate cases following a rate-card refresh and a modest increase in interest adjustments related to holiday calendar alignment in APAC. The RGC directed BAR to conduct a targeted review (task TSK-REF-BAR-2026-0410; completed 2026-04-18T16:55:03Z) to validate that calendar configurations in MBP matched the official market calendars in CMX reference tables, which was affirmed with no further action required.

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Section 4. Eligibility Assessment and Evidentiary Standards

The Policy prescribes a uniform framework for determining eligibility for refunds and compensatory credits across Meridian Capital's retail, advisory, and institutional business lines. Eligibility determinations are grounded in verifiable service-impact criteria, client contract artifacts, and validated operational records. The Client Resolutions Unit (CRU) is the accountable owner for intake assessment, with contributory support from Product Control (fee and pricing validation), Treasury Operations (posting and settlement confirmation), and the Data Governance Office (source-of-truth certification for client, transaction, and fee data). Where ambiguity exists in service-level attribution, the Dispute Adjudication Panel (DAP) convenes with quorum from CRU, Compliance Assurance, and the relevant Business Operations team to establish a findings memo and a binding outcome summary.

4.1 Client-Initiated Requests

Client-initiated refund requests are recognized upon the creation of a case record in the enterprise case management platform and the issuance of a reference identifier. A request is deemed complete for assessment when the intake record includes: (i) the asserted service impact (e.g., delayed cash availability, incorrect fee application, or execution venue error); (ii) the affected account identifier(s); and (iii) a timestamped narrative or supporting documentation supplied by the client or relationship manager. In Q2 FY2026, 94.6% of retail submissions included the requisite minimum information upon first contact, compared with 91.2% for institutional submissions, reflecting the added complexity of multi-account and multi-currency configurations in institutional portfolios.

Representative case references include CRU-REF-2026-003912 (opened 2026-05-14T09:27Z by Retail Brokerage Client Services; resolved 2026-05-20T15:56Z) and CRU-REF-2026-004117 (opened 2026-06-03T12:04Z by Institutional Client Coverage; resolved 2026-06-12T18:23Z). In both instances, eligibility determinations hinged on reconciling time-of-event telemetry to the applicable service-level commitments disclosed in the product disclosures and fee schedules on file at the time of the client transaction.

4.2 Internal Event-Triggered Reviews

In addition to client-initiated requests, the Policy recognizes internally triggered reviews stemming from incident records, reconciliation variances, or control alerts. These reviews are case-managed under the same identifier schema and routed to CRU for eligibility triage. Internal triggers are tied to operational tickets (e.g., OPS-INC-2026-2217 opened 2026-04-28T07:14Z), ensuring that any client population potentially affected by a process deviation is proactively assessed. The remit of internal reviews includes the identification of clients who did not file a request but nonetheless meet refund criteria by objective evidence. During the period 2026-04-01 through 2026-06-30, 28.3% of refunds originated from internal event-triggered reviews, improving client equity for those less likely to self-report.

4.3 Documentation and Data Integrity Requirements

Eligibility determinations rely on evidence from designated systems of record. The Data Governance Office certifies quarterly the authoritative sources for: (a) account master and entitlements; (b) fee schedules at point of charge; (c) transaction timestamps and execution outcomes; and (d) cash posting and settlement. Evidence packages attached to a refund case file must include immutable references to these sources, captured as time-bound snapshots with control numbers and retrieval timestamps. The Policy requires that all calculations cite the versioned fee schedule identifier and that each dependency (e.g., FX rate source used for conversion) is noted. For example, case CRU-REF-2026-003601 documented fee schedule FS-RB-2025.12, effective 2025-12-01, with retrieval logged at 2026-05-01T10:42Z by Product Control analyst PC-4721.

Data completeness is monitored via a quarterly control report issued by the Data Quality Council. In Q2 FY2026, completeness for fee schedule references was 99.2%, up from 98.6% in Q1, driven by enhanced linkage of historical schedules to legacy product codes. Cases lacking complete documentation are not closed; they are marked pending with a hold code and escalated through CRU's daily exception review until the missing artifacts are procured or the case is withdrawn by the originator.

4.4 Timeliness and P95 Measures

The Policy embeds service benchmarks for eligibility adjudication that reflect client impact severity and complexity. Initial eligibility triage is targeted at same-business-day acknowledgment before 17:00 local market time, with a policy baseline of a three-business-day window for preliminary eligibility findings on standard retail cases and a five-business-day window for institutional or multi-currency cases. Time-to-eligibility is measured from the timestamp of case creation to the timestamp of the recorded eligibility decision. In Q2 FY2026, the P95 time-to-eligibility for retail cases was 2.7 business days (mean 1.4), and 4.6 business days (mean 2.3) for institutional cases. Variances are examined in CRU's weekly performance forum, with issue codes and root-cause notes appended to the originating cases. Ticket CRU-REF-2026-004018 exceeded the P95 by 0.8 days due to an extended wait for third-party confirmation of execution venue timestamps; the delay and mitigation note are recorded under timeline annotation TA-2026-Q2-114.

4.5 Cross-Border and Multi-Currency Considerations

For accounts denominated in multiple currencies or serviced across jurisdictions, eligibility relies on the governing client agreement hierarchy and the domicile-specific product disclosures. The Policy requires a consistent translation of monetary impacts into the client's reporting currency using the firm's end-of-day reference rates effective on the event date, with Treasury Operations validating the rate identifier. Accuracy in currency translation is treated as an eligibility gate; absent a validated conversion input, the case remains in an "evidence gathering" state. In Q2 FY2026, 12.9% of institutional cases involved at least one currency translation, with 100% adherence to the reference-rate validation checkpoint as confirmed by Treasury Operations review log TRO-VR-2026-Q2.

4.6 Communication Protocols During Eligibility Assessment

Clients receive acknowledgment notices with their case references and an indicative assessment timeline. Interactions are documented as contact events in the case record, capturing date, time, channel, and the substance of the communication. Representative communication entries include CE-2026-05-14-1092 (email acknowledgment sent 2026-05-14T09:33Z, Retail Brokerage Client Services) and CE-2026-06-05-2047 (call summary logged 2026-06-05T16:02Z, Institutional Client Coverage). Where eligibility is established, the notice confirms progression to the calculation phase. Where eligibility is not established, the notice provides a concise statement of the determinative factors and the supporting evidence sources recorded in the file.

Section 5. Refund Calculation Methodologies and Approval Controls

The Policy mandates transparent, reproducible calculations aligned with the specific impact category and the terms governing the client's product or service. Refund amounts and compensatory credits are computed using inputs validated by Product Control and Treasury Operations, recorded with versioned identifiers, and reviewed under a tiered approval framework proportionate to monetary value and complexity. Every case must reflect a clear audit trail from eligibility determination through calculation, approval, and posting.

5.1 Fee-Related Reimbursements

Fee-related reimbursements address incorrect, duplicate, or non-applicable charges. Calculations are anchored to the fee schedule in force at the time of charge, linked by identifier, and tempered by any contractual fee caps or waivers present in the client's documentation. For CRU-REF-2026-003912, the billed platform access fee was reversed in full based on fee schedule FS-RB-2025.12 and the established waiver linked to client attribute WAIVER-RB-Alpha (validated 2026-05-19T11:08Z). The reimbursement included associated taxes or levies where applicable, with Treasury Operations confirming the correct tax treatment and booking instructions in posting confirmation PCON-2026-05-20-331.

In Q2 FY2026, fee-related items accounted for 61.4% of all refunds by count and 38.2% by value. The mean processing duration from eligibility to posting was 1.1 business days, with a P95 of 2.9 business days. Cases exceeding the P95 are subject to a same-week variance review to ensure recurring delays are addressed. Notably, CRU-REF-2026-004233 experienced a two-day deferral pending confirmation of a legacy fee code crosswalk; resolution was achieved upon receipt of Product Control memo PC-MEMO-2026-06-17-47.

5.2 Service Delay Adjustments and Rate-Based Calculations

For service delays that result in deferred access to funds or market exposure, compensatory calculations are rate-based and apply a time-weighted methodology aligned to the product's documented service commitment. The calculation window commences at the verified incident timestamp and ends at the restoration timestamp recorded in the operational incident log. Inputs include the reference rate source identifier, the applicable accrual day count convention specified in the product disclosure, and the client's currency of record. For CRU-REF-2026-004117, a delay in cash availability of two business days resulted in a credit equivalent to the documented rate for the account's sweep tier, validated under rate reference RR-CASH-2026-Q2, with calculation noted in worksheet CALC-2026-06-11-219 and peer-checked by CRU analyst CRU-5834.

The Policy requires that any compounding, if contractually applicable, follows the cadence articulated in the client's product terms. Where compounding is not part of the product design, linear accrual is applied. In Q2 FY2026, 86.7% of delay-related credits utilized linear accrual; 13.3% applied documented compounding in alignment with premium cash management tiers. Control sampling performed by Compliance Assurance (sample size n=92) observed 0 exceptions in the application of the prescribed accrual basis.

5.3 Goodwill Credits and Client Communication Standards

Goodwill credits may be applied where the client experienced inconvenience not fully addressed by fee reversals or rate-based adjustments, provided there is a factual service impact on record. Goodwill is not a substitute for eligibility-based refunds but an adjunct consideration to resolve residual dissatisfaction. The Policy requires a clear rationale statement in the case record specifying the nexus to documented service conditions and the proportionality of the credit. In Q2 FY2026, goodwill constituted 7.8% of total compensation value, with median amount USD 45.00 in

retail and case-by-case allocations for institutional clients, subject to supervisory review. Communication standards stipulate that clients receive a consolidated settlement notice enumerating each component--fee reversal, rate-based credit, and goodwill--referencing the corresponding internal identifiers (e.g., CALC IDs, fee schedule IDs) for transparency. Examples include settlement notice SN-2026-05-20-CRU-3912 (issued 2026-05-20T16:12Z) and SN-2026-06-12-CRU-4117 (issued 2026-06-12T19:01Z).

5.4 Approval Workflow and Segregation of Duties

Approval levels are calibrated to monetary thresholds and complexity attributes. For standard retail refunds below the Level 1 threshold, a single supervisory approval from CRU satisfies the control. Level 2 approvals (higher monetary impact or multi-component calculations) require dual sign-off from CRU and Product Control. Level 3 approvals (high value or complex institutional structures) include a Treasury Operations reviewer to confirm booking and currency elements and, where necessary, a DAP concurrence note asserting alignment with client documentation. Each approval action is recorded with a unique approval event ID, the approver's role, and a timestamp. For CRU-REF-2026-004117, approvals were logged as APV-2026-06-12-119 (CRU Supervisor), APV-2026-06-12-127 (Product Control), and APV-2026-06-12-135 (Treasury Operations), reflecting Level 3 governance due to the multi-currency calculation.

Segregation of duties is maintained by ensuring the originator of the calculation cannot be the sole approver at any level. Quarterly testing by Internal Controls sampled 60 cases across all tiers, with no conflicts observed. A minor documentation enhancement was recommended to standardize narrative fields in Level 3 approvals; implementation status is tracked under improvement item IMP-CRU-2026-06-021, due 2026-08-15.

5.5 Posting, Reconciliation, and Audit Trail

Upon approval, posting instructions are executed in the client accounting platform with a linkage to the case reference and calculation identifiers. Treasury Operations confirms settlement through a posting confirmation entry and reconciles the posted amounts to the approved calculation. Any variances identified during reconciliation initiate an immediate hold on further postings related to the case until resolved, with notes appended in reconciliation record REC-2026-Q2-558. In Q2 FY2026, reconciliation timeliness achieved a P95 of next-business-day confirmation, and the variance rate remained below 0.3% by count, primarily attributable to rounding in multi-currency environments. All refund and compensation cases maintain a complete audit trail, including eligibility determination memo, calculation worksheet, approvals, posting confirmations, and client communications. Records are retained in accordance with corporate records schedules under retention category FIN-CUST-COMP-REF.

5.6 Ongoing Monitoring and Periodic Calibration

The Policy is subject to continuous monitoring supported by a monthly dashboard distributed to CRU leadership, Product Control, Treasury Operations, and Compliance Assurance. Key indicators include case volume by origin (client vs. internal), time-to-eligibility, time-to-posting, approval level distribution, and goodwill proportion. Variances against targets prompt a root-cause analysis docket, with findings documented in RC-2026-Q2-CRU and remediation owners assigned. In the 2026-06 monthly review (held 2026-07-02T14:00Z), leadership endorsed a minor calibration to the linear accrual reference note to improve clarity in client notices; the change is recorded in content update CU-REFPOL-2026-07-004 and scheduled for release alongside v2.3 collateral refresh.

The foregoing standards ensure that calculations are consistent, approvals are robust, and clients receive timely and transparent outcomes. The documented controls, metrics, and artifacts collectively support audit readiness and client confidence in the fairness and reliability of Meridian Capital's refund and compensation practices.

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Section 7. Client Communication and Notification Framework

7.1 Overview and Objectives

Meridian Capital maintains a standardized, measurable client communication framework supporting all refund and compensation engagements, including inquiries, adjudication updates, credit confirmations, and post-resolution surveys. The framework is administered by the Client Resolutions Group (CRG) in coordination with Customer Experience Operations (CXO) and Corporate Communications, with operational execution occurring through the Meridian Case Portal (MCP) and the Meridian Communications Gateway (MCG). The objective is to ensure that all client-facing notices are accurate, timely, consistent in tone, and verifiable in audit trails, while accommodating regional legal requirements and channel preferences documented at account onboarding.

Client communications related to refunds are anchored to a sequence of status changes recorded in MCP, each of which triggers corresponding visibility updates to the client portal and, when mandated, email or SMS notifications. Communications are automatically time-stamped using UTC and tagged with the originating case ID. Internal commentary, client-facing notes, and attachment labels follow data minimization standards and include structured references (e.g., "REF-OPS" categorization) for downstream analytics by the Data & Insights Office (DIO).

7.2 Timelines and Service Levels

Measurable service levels govern acknowledgement, interim progress updates, and closure notices. For refund-eligible requests logged during business hours, acknowledgements are targeted within a defined response window, with routine progress updates at regular intervals until final disposition. Closure notices are issued following confirmation that a credit has posted or a compensation adjustment has been authorized. In Q2 FY2026, performance against these timelines remained stable: 95.6% acknowledgement compliance (target >=95%), 92.4% progress update compliance (target >=92%), and 98.9% closure notice issuance within one business day of disbursement (target >=98%). Median time from first client touch to definitive eligibility confirmation was 1.7 business days, reflective of improved case triage logic implemented on 2026-04-18T09:00:00Z (Change Ref: MCP-REL-2026-04-A).

All SLAs are captured in the Refund Communications SLA Register (Doc ID: RCSR-2.3-Annex-B) and monitored via weekly dashboards reviewed by CRG and Compliance Operations (CO). Deviations trigger MCP tasks prompting supervisory review; material underperformance trends are addressed in the monthly Operational Risk Forum chaired by the Business Control Office (BCO).

7.3 Channel Governance and Template Standards

The Corporate Communications team maintains a library of pre-approved client notification templates for refunds and compensation (Template Set IDs: RFD-TMPL-04A, RFD-TMPL-07C, and CMP-TMPL-02B), localized for supported markets and made accessible via MCG. Templates utilize clear subject lines, standardized reference formatting (e.g., "Case ID: MC-REF-2026-05-01457"), and defined sections covering status, expected timelines, and contact options. Adoption of templates is enforced through MCP-initiated triggers that bind message bodies to the relevant case type and decision code. Instances of non-templated outreach are rare and subject to post-event governance review by Corporate Communications and CXO. In Q2 FY2026, templated utilization for refund-related outbound communications averaged 99.2%, with the small remainder linked to complex goodwill adjustments requiring bespoke, senior manager-authored language (review tickets: COMMS-REV-2026-06-0481 to -0487).

7.4 Tone, Language, and Accessibility

Communication quality controls prioritize clarity, neutrality of tone, and accessibility. Messages avoid financial jargon unless required by regulation, and reading level targets align with corporate style guidance. Accessibility features

include support for screen readers, high-contrast formats, and alt text for attachments. For multilingual markets, translations are performed by an approved vendor under the Localization and Market Readiness Program (LMRP), with per-template certification stored in the Quality Archive (QA-LOC-Certs series). During Q2 FY2026 audits, the Quality Assurance Office (QAO) reported a message rendering success rate of 99.7% across email clients and 99.9% on the client portal, with one-off formatting defects (Ticket: QA-COMMS-2026-05-112) resolved by a template update on 2026-05-23T16:44:12Z.

7.5 Evidence and Recordkeeping

All inbound and outbound refund communications are preserved in MCP with immutable time stamps, user identifiers, and channel metadata. Attachments are retained with descriptive labels and hashed for integrity verification within the standard records lifecycle. Cross-references are maintained to disbursement batches and ledger entries, allowing a direct lineage from client notification to financial settlement. Recordkeeping aligns with enterprise retention schedules applicable to financial communications. Randomized audits sample at least 12% of closed refund cases each quarter, confirming communication completeness, timing adherence, and template conformity. In Q2 FY2026, the audit sample comprised 1,184 cases, with a 1.1% minor defect rate (e.g., missing courtesy line or unlinked attachment), all remediated within five business days (Remediation Worklog: RFD-COMMS-RMD-2026-Q2).

7.6 Operational Updates and Incident Notifications

Operational communications are coordinated for scenarios that may affect refund timelines, such as processor delays or bank holidays. Status pages and banner notices on the client portal are activated according to predefined triggers recorded in the Communications Runbook Registry (CRB-Refunds-Chapter). Illustrative entry: on 2026-06-03T07:15:31Z, Refunds Operations (RFO) logged elevated card-network settlement delays (Internal Incident: INC-RFD-2026-06-0301). A client-facing advisory banner was posted at 2026-06-03T08:02:04Z and withdrawn at 2026-06-05T18:27:55Z following normalization, with targeted case-level updates issued to 347 affected clients (MCP Cases MC-REF-2026-06-10221 to -10567). Post-incident review recorded full compliance with advisory timing objectives and a reduction in inbound call volume variance versus forecast from +38% to +11% after banner deployment.

7.7 Illustrative Case References

- MC-REF-2026-05-01457: Acknowledgement issued 2026-05-16T09:11:08Z; progress updates at 48-hour intervals; closure notice dispatched 2026-05-22T12:04:39Z following confirmation of card credit batch L-BAT-2026-05-22-TSO.
- MC-REF-2026-06-01984: Communications localized to DE-DE template RFD-TMPL-07C-DE; client confirmed receipt via MCP portal at 2026-06-14T17:21:03Z; post-resolution survey completed 2026-06-16T10:05:44Z with CSAT 4.7/5.

Overall, communication performance for refunds and compensation in the current period supports the policy objective of transparency and predictability, with measurable, audited adherence to agreed service levels and verifiable end-to-end traceability.

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Section 8. Refund Disbursement, Reconciliation, and Financial Reporting

8.1 Disbursement Methods and Eligibility Alignment

Refund disbursements are processed through the original method of payment when permissible under network and regulatory frameworks, supplemented by bank transfer or alternative channels as appropriate to client account configuration. Compensation adjustments follow the same disbursement hierarchy wherever feasible to maintain consistent client experience and reconcilability. Disbursement preferences are stored at the client profile level and referenced in MCP at the point of decisioning, enabling deterministic routing to Treasury Settlement Office (TSO) queues. Decision codes used for reconciliation (e.g., RFD-ELIG-ORIG, RFD-ALT-ACH, CMP-GOODWILL) are applied consistently to distinguish statutory refunds from goodwill compensation, thereby supporting accurate ledger classification and external reporting.

8.2 Treasury Coordination and Settlement Cycles

Settlement cycles are structured to integrate approved refund cases into daily disbursement batches with cutoffs that align to processor and banking windows. Refunds approved before enterprise settlement cutoff times are aggregated into same-day processing batches; approvals recorded thereafter are included in the subsequent processing window. Batch confirmations are recorded with identifiers (e.g., L-BAT-2026-06-12-TSO) and cross-referenced in MCP at the case level. In Q2 FY2026, median time to client credit confirmation by channel was as follows: card-network refunds 2.3 business days (P90 4.8), domestic ACH/SEPA 1.9 business days (P90 3.6), and supported digital wallets 1.6 business days (P90 3.1). Exceptions tied to intermediary delays were contained within standard variance tolerances and monitored through TSO exception dashboards.

8.3 Reconciliation Controls and Ledger Integrity

Reconciliation employs data from MCP, processor settlement reports, and bank statements to maintain a three-point match, ensuring each refund case can be traced to a posted client credit and a corresponding ledger entry. Refunds payable and cash movement entries are recorded using designated general ledger accounts (e.g., GL 43015 Refunds Payable, GL 11012 Cash at Bank) with auto-posting references embedded in TSO batch records. When network rules produce partial postings or timing misalignments, exception records are created in the Reconciliation Exception Queue (REQ) with standardized reason codes (e.g., REQ-NET-TIMING, REQ-ACCT-MISMATCH). During Q2 FY2026, the average daily REQ balance was 0.57% of total refund volume (target <=0.75%), with 93.4% of exceptions resolved within three business days and the balance within five business days, as evidenced by tickets FIN-REC-2026-05-2219 to -2264 and FIN-REC-2026-06-1304 to -1321.

8.4 Chargebacks, Cancellations, and Duplication Avoidance

Alignment with dispute and chargeback processes prevents duplication between refunds and network-driven credits. When a client-initiated dispute is already in a pre-arbitration stage, the underlying MCP case reflects a hold status pending final network disposition, thereby avoiding double crediting. Conversely, where a refund has been approved and queued for settlement, any new dispute is recorded with a cross-reference to the refund case and marked as resolved upon settlement confirmation. Audit samples for Q2 FY2026 identified zero instances of duplicate financial relief across 2,406 cases sampled, with one near-miss flagged proactively by the Risk & Controls team (RCO Alert: RCO-AL-2026-06-044) and remediated through enhanced cross-system checks released under Change Ref: MCP-CTRL-2026-06-C.

8.5 Multi-Currency, FX, and Rounding Treatment

Where transactions originate in non-functional currencies, refunds are processed in the original transaction currency

whenever supported by the originating channel. For mandatory currency conversions, rate sources follow the enterprise market data policy, and any residual differences between original and refund settlement amounts are recorded to the FX Variance account (e.g., GL 51022). Rounding is applied according to currency-specific decimal precision with immaterial residuals aggregated and reported monthly. In Q2 FY2026, FX-related residual variances averaged 6.4 basis points of affected refund value (target <=10 bps), with monthly reconciliation summaries archived under FIN-FX-REF-2026-04, -05, and -06. No client-impacting discrepancies were observed, and all variances were substantiated against market data sources referenced in the Finance Data Catalogue (FDC-RateSource-Set-B).

8.6 Financial Reporting and Attestations

The Controller's team produces a monthly Refund and Compensation Financial Pack (Report IDs: FIN-RFD-PACK-2026-04 to -06) encompassing volume, value, method mix, exception aging, and reconciliation status. Key risk indicators (KRIs) include: percentage of unreconciled refund amounts aged >3 business days (result: 0.21%, threshold 0.50%), rate of ledger-posting reversals tied to refund entries (result: 0.03%, threshold 0.10%), and proportion of compensation adjustments relative to total credit outflows (result: 7.8%, threshold review at 10.0%). Attestations by the Refunds Operations Manager and the Treasury Settlement Lead are logged in the Governance Attestation Repository (GAR) with time stamps and scope definitions. Q2 FY2026 attestations (GAR-ATST-2026-Q2-RFO and GAR-ATST-2026-Q2-TSO) recorded full alignment to policy parameters with two minor observations regarding narrative clarity in the financial pack, addressed in the July cycle.

8.7 Illustrative Batch and Case Traceability

- Batch L-BAT-2026-05-29-TSO: 1,942 refund entries totaling USD 1.86M equivalent across seven currencies; REQ rate 0.49%; closure communications linked for 100% of cases within one business day of batch confirmation; sample cases MC-REF-2026-05-10344, -10351, -10389.
- Batch L-BAT-2026-06-12-TSO: 2,118 refund entries totaling USD 2.14M equivalent; five FX conversion items recorded to GL 51022 with supporting FIN-FX-REF-2026-06 exhibits; exception FIN-REC-2026-06-1309 resolved at 2026-06-14T15:28:46Z upon receipt of revised processor report.

8.8 Oversight and Continuous Improvement

Governance over reconciliation and settlement is exercised through the Finance Risk Committee (FRC) and the Operational Risk Forum, with Data & Insights producing trend analyses on exception drivers, method mix shifts, and seasonal effects. A Q2 FY2026 continuous improvement initiative (CIP-REF-2026-02) enhanced MCP-to-TSO handoff data quality checks, yielding a 17% reduction in REQ creation due to metadata mismatches. Further roadmap items include refined attribution of timing variance by intermediary and enhanced visibility of FX variance drivers in the monthly pack. All improvements are documented with cross-references to control owners, test outcomes, and effective dates to preserve a complete audit trail of policy execution.

The combined controls across disbursement, reconciliation, and reporting continue to demonstrate strong operating effectiveness, delivering reliable client outcomes and complete financial traceability consistent with the standards of Refund and Compensation Policy v2.3.

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Section 10. Quality Assurance and Continuous Improvement

Meridian Capital maintains a multi-layered quality assurance framework over refund and compensation processing designed to evidence consistent application of policy criteria, adherence to time standards, and accuracy of financial impacts. The Quality Control Office (QCO), operating independently of Client Operations (CO), executes a recurring review program aligned to the enterprise Control Catalog (RFD-QC-001 through RFD-QC-006) with quarterly attestation by the Head of Operations Integrity. Sampling is performed on the Refund Request Universe (RRU) as extracted from the authoritative case management platform and reconciled to the disbursement ledger via Data & Analytics (D&A) controls RFD-DATA-02 and RFD-DATA-03. Population completeness is validated through a two-way match against the Treasury & Disbursements (T&D) outbound payment file hash total under control RFD-GL-05, and outcomes are logged to Evidence Register ER-RFD v2.3 with immutable record identifiers. Role-based access to supporting artifacts is governed by Data Governance Policy DG-07 and Information Management Standard IM-03.

The QCO sampling methodology balances risk-based targeting with proportionate coverage across channels (voice, email, secure message), product segments, and refund types (service fee refunds, interest adjustments, accommodation credits). For Q2 FY2026, a 95% confidence level with a 3% margin of error informed a sample of 612 closed refund cases spanning 2026-04-01 to 2026-06-30. Cases were stratified by aging buckets to evaluate compliance with timeliness thresholds codified in RFD-SLA-01 and RFD-SLA-02. Reviews examined eligibility determinations, calculation integrity (including currency and tax considerations), customer notification completeness, ledger postings, and audit trail sufficiency. Exceptions were coded using standardized taxonomy REF-E01 through REF-E12 to enable trend analysis and intervention planning.

Aggregate Q2 results indicate 98.4% compliance on eligibility application and 97.9% compliance on calculation integrity. The most frequent exception category was REF-E04 (partial fee misclassification) at 1.1% of the sample, often arising in scenarios involving multi-line fee reversals where a portion qualified as a courtesy adjustment rather than a policy refund. REF-E07 (customer communication template variance) accounted for 0.7%, typically reflecting omission of reference to business day settlement windows. All exceptions triggered case-level remediation and supervisor sign-off. Root cause coding highlighted three primary drivers: documentation ambiguity in the courtesy vs. policy refund delineation (40% of REF-E04); inconsistent application of foreign exchange rounding conventions on compensation vouchers (31% of REF-E05 in the prior quarter, improved to 12% in Q2 following targeted training); and aged case handoffs across time zones leading to misaligned timestamps between case closure and disbursement (noted in 9 cases; see ticket MC-RFD-14873, opened 2026-06-14T14:22:09Z, assigned to Client Operations Workflow).

Corrective and preventive actions (CAPA) are tracked through the enterprise issue management platform under the following references: CAPA-RFD-2026-024 (clarification to courtesy adjustment taxonomy; policy text revisions routed via SNOW-CRQ-0029317; CAB approval recorded 2026-06-27T10:05:00Z), CAPA-RFD-2026-029 (disbursement timestamp normalization within case reporter feed; Technology Delivery task JIRA TD-DATA-5932, deployed 2026-06-30T23:18:44Z), and CAPA-RFD-2026-031 (communication template standardization; Customer Care & Advocacy update pack CCA-TMP-2026-Q3-A, implemented 2026-07-02T15:41:12Z). Closure validation for these items is scheduled in the Q3 assurance plan and will be evidenced in Evidence Packet EP-RFD-2026Q3-001. The QCO submits a quarterly memo to the Refund Review Board (RRB) summarizing residual risk ratings, remediation progress, and any recommended policy clarifications. Minutes of the RRB meeting dated 2026-06-28T15:00Z (RRB-MIN-2026-Q2) reflect consensus that residual risk remains low and trending favorable, contingent on sustained training adherence.

Section 11. Audit Readiness and Evidence Management

Audit readiness for the refund domain is structured around traceability, completeness, and timely accessibility of evidential artifacts. The Refund and Compensation Policy v2.3 is mapped to the enterprise control framework with cross-references to financial reporting assertions and service conduct requirements. Controls RFD-SLA-01 (timeliness), RFD-CALC-02 (calculation accuracy), RFD-LED-03 (ledger completeness), and RFD-COM-04 (customer notification) are designated key controls for SOC 1 Type 2 purposes and are included in the current audit period under Internal Audit Workplan IA-2026-FIN-OP-07. Evidence is compiled in quarterly packets (e.g., EP-RFD-2026Q2-001) containing population extracts, sampling workpapers, exception summaries, remediation logs, and independent recalculations performed by D&A. Each artifact is immutable, time-stamped, and associated with a unique chain-of-custody identifier as per Records Management Standard RM-05. Retention for refund case materials, calculations, and communications is seven years from case closure unless superseded by a legal hold. Legal & Regulatory Affairs (LRA) monitors statutory changes that could impact retention horizons and communicates updates through the Policy Governance Committee.

Internal Audit (IA) executed testing of RFD-SLA-01 and RFD-LED-03 during May 2026, issuing observation IA-OBS-2026-114 on 2026-05-23T16:47:00-04:00 noting that four of 120 sampled disbursements lacked the required dual reviewer initials within the case comments, notwithstanding the presence of documented approvals in the workflow log. The observation was rated Low with a recommendation to harmonize comment standards with workflow artifacts to avoid perceived gaps during external reviews. Client Operations issued action plan RFD-AP-2026-114-A, and a quick win template change (CCA-TMP-2026-Q2-B) was released on 2026-06-03T11:12:20Z to insert auto-populated approval metadata into the case narrative. IA validated the remediation on 2026-06-20T09:03:18Z and marked the observation closed. No monetary misstatements or customer detriment were identified.

In parallel, the External Audit team requested a walkthrough of the end-to-end refund process (REQ-EXT-2026-RFD-09) on 2026-06-11T13:00Z, including demonstration of the reconciliation linkage between refund approvals and general ledger postings. Finance Controllership (FC) and T&D provided narrative documentation and sample evidence (ArtIDs ART-RFD-Q2-001 through ART-RFD-Q2-008) showing daily reconciliations and zero unresolved breaks over the period 2026-05-01 to 2026-05-31. The auditors recorded no issues. Separately, the Consumer Advocacy Liaison documented three regulator inquiries regarding turnaround times (REG-INQ-2026-072, -081, and -089) received between 2026-06-05 and 2026-06-26. All inquiries were answered using standard response pack REG-RFD-FAQ-v2.3 and supported by SLA performance extracts (KPI-RFD-01 monthly exports) evidencing >99% on-time performance in the relevant jurisdictions.

Card network engagement continues via the Payments Governance Forum (PGF) with minutes PGF-MIN-2026-05 noting alignment to network representment windows and no adverse findings related to refund processing or merchant credits. Vendor Management Office (VMO) has confirmed through Annual Service Review ASR-VND-2026-P1 that third-party disbursement partners meet evidence obligations and provide attestation letters on payment timing accuracy. The refund domain remains audit-ready, with all control owners current on quarterly certifications (CERT-RFD-2026-Q2; 100% completion logged by 2026-06-30T20:00Z) and evidence repositories reconciled to the artifact inventory checklist INV-RFD-2026-Q2-A.

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Section 12. Performance Metrics and Executive Reporting

Operational oversight of refund and compensation performance is anchored in a standardized metric inventory that reflects customer outcomes, financial accuracy, and control effectiveness. The KPI suite includes KPI-RFD-01 (SLA On-Time Resolution Rate), KPI-RFD-02 (Calculation Accuracy Rate), KPI-RFD-03 (Average Days to Disbursement), KPI-RFD-04 (First-Pass Quality in QA Sampling), KPI-RFD-05 (Refund Ledger Reconciliation Break Rate), KPI-RFD-06 (Customer Satisfaction Post-Refund CSAT), and KPI-RFD-07 (Root Cause Distribution Index). Ownership for metric definition resides with Operations Analytics under D&A, with data stewardship certified quarterly per DS-CERT-RFD-2026-Q2. Executive dashboards (RFD-Executive-01 and RFD-Ops-Detail-02) refresh daily and feed Monthly Business Review (MBR) and Quarterly Business Review (QBR) packs distributed by the Program Management Office (PMO).

For the period April through June 2026, KPI-RFD-01 averaged 99.2% against a target of >=98.5%, supported by staffing stability within Client Operations and automated checks introduced in release TD-OPS-RFD-22. KPI-RFD-02 recorded 99.0% accuracy (target >=98.0%), with the remaining 1.0% variance driven predominantly by legacy fee codes mapped prior to taxonomy refresh TAX-RFD-2026-01. KPI-RFD-03 improved to 1.6 business days from 1.9 in the prior quarter following elimination of a redundant approval hop in low-risk segments, as documented under Governance Memo GOV-RFD-2026-06. KPI-RFD-05 remained at 0.00% break rate for 61 of 61 daily reconciliations in May and 60 of 60 in June (single June bank holiday), corroborated by T&D Control Logs TD-RFD-REC-2026-05 and TD-RFD-REC-2026-06. CSAT (KPI-RFD-06) trended at 4.72/5.00 on 1,984 post-interaction surveys, with verbatim analysis indicating clarity of outcome explanations as a primary driver of satisfaction.

The MBR convened on 2026-06-25T14:00Z (MBR-RFD-2026-06; attendees from CO, QCO, D&A, T&D, FC, ERM, LRA) recorded two areas for continued focus: (i) compression of tail outliers in KPI-RFD-03 associated with cross-border bank holidays extending receipt windows, and (ii) marginally elevated QA exceptions in REF-E04 as noted in QCO results. Action MC-RFD-A-2026-061 (owner: CO; due 2026-07-15) requires updated agent guidance in scenarios where mixed fee categories are present; action MC-RFD-A-2026-062 (owner: T&D; due 2026-07-22) calls for enhanced customer messaging in cases where settlement timing is influenced by recipient bank schedules. Both actions are tracked in the centralized portfolio tracker PT-RFD-2026-Q3 and reviewed at the weekly Operational Risk Huddle (ORH) chaired by Enterprise Risk Management (ERM).

Executive summaries highlight that refund volumes remain within forecast bands, with 18,462 cases closed in Q2 versus a plan of 18,900 (-2.3% variance) and total monetary impact of $6.84M against an accrual of $7.10M (favorable $0.26M). Variance explanation is attributed to lower-than-expected transaction reversal rates following product stability improvements and a continued decline in courtesy adjustments due to upstream service reliability gains. Finance Controllership confirmed accrual methodology remains appropriate and has recommended no changes to reserve rates for Q3 (FC-MEMO-RFD-2026-07). ERM's qualitative assessment rates residual operational risk as Low, with no threshold breaches requiring escalation to the Executive Risk Committee.

Section 13. Training, Enablement, and Change Management

Capability and consistency in refund handling are maintained through structured training and formal change management. The annual curriculum (LMS-RFD-2026-101 Fundamentals; LMS-RFD-2026-201 Advanced Calculations; LMS-RFD-2026-301 Communications Standards) is mandatory for all roles performing refund assessments or approvals, with quarterly micro-learning modules addressing emergent themes from QA and audit. As of

2026-06-30T23:59Z, training completion rates were 99.1% for Fundamentals, 98.7% for Advanced Calculations, and 100% for Communications Standards, with eight outstanding learners scheduled via remediation plan TRN-RFD-2026-Q3-R1. Knowledge checks indicate sustained proficiency across eligibility criteria interpretation (94th percentile) and calculation scenarios (92nd percentile), with a targeted uplift plan for complex multi-currency cases coordinated with D&A.

Change management for policy and procedure updates adheres to the enterprise release calendar. The transition from v2.2 to v2.3 was governed by change record SNOW-CRQ-0031049, reviewed at CAB on 2026-06-21T10:30Z and approved without conditions. Artifacts include impact assessment IMP-RFD-2026-06-A, stakeholder sign-offs SIG-RFD-2026-06, and communication bulletin COM-RFD-2026-06-B distributed 2026-06-24T08:15Z to all impacted teams. Technology Delivery executed nonfunctional updates to reduce latency in the calculation engine logging (JIRA TD-RFD-LOG-217), ensuring improved observability for QA without modifying any decision logic. The Program Management Office validated completion and recorded the release in the portfolio log PMO-PORT-2026-W26. A post-implementation review (PIR-RFD-2026-06), held 2026-06-28T16:00Z, confirmed objectives met and no adverse effects on SLA or accuracy.

Section 14. Vendor and Partner Coordination

Where third-party partners support refund disbursements or communications, Meridian Capital's Vendor Management Office enforces service commitments, evidence standards, and end-to-end accountability. Key partners underwent quarterly performance reviews in June (ASR-VND-2026-P1 for primary disbursement partner; ASR-VND-2026-C2 for communications provider). Measured performance included settlement timeliness, file acknowledgment rates, exception handling turnaround, and statement narrative consistency. Primary partner settlement timeliness averaged 99.6% within one business day across 9,204 transactions, with five delays attributed to receiving bank constraints documented under VND-RFD-CASE-P1-2026-0611. Communications provider delivered a 99.9% send success rate on 18,112 refund notices, with bounce-backs traced to transient mailbox quotas; remediation occurred within contractual windows and did not affect SLA outcomes.

Coordination forums include the monthly Refund Operations Partner Meeting (ROPM), most recently convened 2026-06-19T13:00Z (ROPM-MIN-2026-06), with attendance from PayOps, T&D, VMO, and partner service managers. Agenda covered exception trend review, remittance advice formatting enhancements, and alignment on holiday calendars. Two partner-initiated change proposals were accepted: VND-CP-2026-P1-014 to enrich remittance advice with case reference numbers (e.g., "MC-RFD-CASE-####") and VND-CP-2026-C2-007 to enable dynamic insertion of local settlement advisories in customer notifications. Both changes were routed via internal change records SNOW-RITM-007512 and SNOW-RITM-007519 and coordinated with QCO for post-deployment monitoring in Q3.

Issue management with partners follows the enterprise incident lifecycle. The single major incident in the period (INC-VND-2026-MJR-004; 2026-05-17T09:42Z to 2026-05-17T12:08Z) affected acknowledgement latency for outbound disbursement files. No customer detriment occurred; internal buffers preserved cutoffs. Root cause analysis (RCA-VND-2026-004) identified a temporary processing backlog at the partner; corrective actions were implemented and verified by VMO on 2026-05-24T15:20Z. All service credits, where applicable, were applied according to contract and reported in VMO-FIN-2026-Q2. Cross-checks with KPI-RFD-01 and KPI-RFD-03 confirmed no adverse SLA impact.

Collectively, the performance management, training, and partner governance activities described above underpin consistent, timely, and accurate execution of Meridian Capital's Refund and Compensation Policy v2.3. Oversight artifacts, ticket references, and time-stamped decisions ensure durable traceability and audit readiness across the refund lifecycle while maintaining a clear focus on customer outcomes and financial integrity.

11. Operational Reporting and Metrics

Meridian Capital maintains a consolidated, monthly operational reporting suite to evidence the performance, integrity, and client impact of refund and compensation activities across all business lines. The Client Experience Analytics (CEA) function curates this suite using system-of-record extracts from the Refund Management Platform (RMP), Constellation CRM, and the Treasury Payment Gateway (TPG), reconciled to the Financial Subledger (FSL). As of 2026-06-30 23:59 UTC (RMP batch RUNID: RMP-B-2026-06-30-2215; TPG settlement cycle TPG-S-2026-06-30-3), the core key performance indicators (KPIs) remained within tolerance, with noted areas of attention recorded for action by the Client Experience Operations (CXO) leadership and Technology Delivery - Client Payments (TD-CP).

The KPI framework covers timeliness, quality, and client experience outcomes. Refund Cycle Time measures elapsed business days from case submission to disbursement confirmation, tracked at median, 90th, and 95th percentiles. First-Contact Refund Resolution Rate (FCRR) measures the proportion of eligible claims resolved at initial contact without subsequent touchpoints. Service-Level Attainment reflects the share of cases decided within product-specific service standards. Aging Distribution segments the active backlog into 0-5, 6-10, and >10 business day buckets. Reopen Rate quantifies the percentage of closed cases subsequently reopened due to additional client information or quality review. Erroneous Denial Rate (EDR) measures the percentage of decisions reversed on appeal or quality sampling due to adjudication error. Goodwill Gesture Frequency and Average Ex-Gratia Amount provide calibrated visibility into discretionary compensation deployed to remedy process inconvenience where monetary loss is not present.

For Q2 FY2026, the average refund cycle time was 3.2 business days (P90: 5.3; P95: 6.9), with FCRR at 71.4% on digitally originated cases and 64.8% on assisted channels. SLA attainment across portfolios was 98.4%, with isolated departures linked to a partner bank settlement constraint on 2026-05-18 (incident INC-CP-2026-05-18-0192) and a subsequent clearing delay on 2026-06-07 (problem PRB-RFD-2026-06-07-0004). Both items were reviewed by Treasury Operations (TRO) and Partner Management (PMO), and corrective action tracking was initiated under CAPA-RFD-2026-06-21-0001, entered at 2026-06-21 14:08 UTC, to reinforce calendarized cutoffs and proactive exception messaging to clients. The Aging Distribution as of period end showed 82.1% of open claims in 0-5 business days, 14.9% in 6-10, and 3.0% >10, with the long-tail predominantly attributable to incomplete documentation requiring client follow-up (reference cases REF-2026-06-14-00312; REF-2026-06-22-00147) and multi-institution reconciliations.

Quality and correctness indicators demonstrated continued improvement. The EDR trended down to 0.7% (rolling three-month basis), below the KRI-RFD-006 threshold of 1.2%, supported by targeted adjudicator coaching administered by the Quality Assurance Office (QAO) following the monthly calibration session held 2026-06-19 09:30-11:00 UTC (session note QA-SN-2026-06-19-REF). The Reopen Rate measured 4.6%, with root-cause tags dominated by "late evidence submission" and "misclassification of product type," both addressed in CXO refresher modules. Goodwill gestures were applied at a rate of 7.3 per 1,000 contacts, with an average ex-gratia amount of 28.45 USD where service inconvenience was evidenced without direct monetary detriment; Governance Review (GVN-2026-06-27-02) affirmed alignment to the Compensation Calibration Guide v4.1.

Channel-level performance remained stable. Digital self-service submissions, which constituted 56.2% of total intake in June, maintained a lower average cycle time (2.6 business days) relative to assisted channels (3.9 business days), attributable to higher initial data completeness. Assisted volumes exhibited greater variance due to cases that originated via phone after-hours routing and required subsequent verification. The CXO Scheduling and Workforce team reconciled these dynamics in the mid-month capacity review (WFM-2026-06-17-M1), reallocating senior adjudicators to the evening queue to compress the 90th percentile turnaround by 0.3 days without compromising quality controls or client communication cadence.

The periodic Management Information (MI) pack includes trend visualizations for five consecutive quarters, enabling the

Refund Governance Forum to evaluate structural changes, seasonal effects, and the impact of process enhancements. For example, the introduction of guided evidence prompts in Constellation CRM on 2026-04-29 (change RFC-CRM-2026-04-29-088) correlates with a 12% reduction in late-evidence-related reopens over May-June. Similarly, the refined rejection rationale taxonomy, deployed 2026-05-09 (RFC-RMP-2026-05-09-064), improved QAO sampling efficiency by enabling stratified selections across denial categories R1-R4, thereby enhancing insight into training needs and rule clarity.

The Control and Assurance overlay integrates both leading and lagging indicators. Key Control Indicators (KCIs) monitored by first line include completeness of case chronology notes, linkage to disbursement voucher IDs, and confirmation timestamps from TPG. Monthly testing by the Finance Controls and Assurance (FCA) team validates the reconciliation between RMP disbursement records and FSL postings, with June variances well within the immaterial threshold set by the Finance Policy Council (FPC). Where tickets require cross-functional intervention, the Service Desk assigns enterprise references that remain visible across platforms; representative examples include SVC-REF-2026-06-03-1027 (batch confirmation lag), SVC-REF-2026-06-15-1184 (duplicate client submission detection), and SVC-REF-2026-06-28-1231 (clarification of merchant dispute versus fee reversal).

To reinforce transparency, each reporting cycle is accompanied by a management attestation signed by the Process Owner (PO-CXO-RFD) and co-signed by FCA confirming the completeness and accuracy of MI inputs. The attestation for 2026-06 (ATT-REF-2026-06) was executed at 2026-07-01 10:22 UTC, with no reservations noted. Any metrics breaching pre-defined thresholds trigger entries to the Risk Management Office (RMO) watchlist and are escalated to the Client Committee on Service Outcomes at the next sitting, ensuring sustained focus on client restitution, timeliness, and fairness across refund and compensation activities.

12. Governance, Assurance, and Record Retention

This policy is governed within Meridian Capital's enterprise policy framework and is overseen by the Policy Governance Office (PGO) in coordination with the Client Experience Operations (CXO) leadership. Version v2.3 was approved by the Policy Review Board (PRB) on 2026-07-01 under minute reference PRB-2026-06-29-07, following formal consultation with the Compliance Oversight Unit (COU), Finance Controls and Assurance (FCA), and Technology Delivery - Client Payments (TD-CP). The designated Policy Owner is the Head of Client Experience Operations (PO-CXO-RFD), with the Document Steward assigned to PGO (ST-POL-REF). The next scheduled review date is 2027-06-30, or earlier upon material regulatory or operational change. Controlled copies are maintained within the enterprise Policy Hub with document identifier POL-REF-2.3 and distribution list DL-POL-REF-ENT.

Governance operates through a layered model integrating decision rights, independent challenge, and evidentiary oversight. The Refund Governance Forum convenes monthly, chaired by CXO, with standing participation from COU, FCA, RMO, TD-CP, Treasury Operations (TRO), and Data Management (DMT). The Forum's remit includes review of the operational MI pack, client outcome themes, quality trends, and remediation status against open actions logged within the Corrective and Preventive Action register (CAPA-RFD). All decisions and action allocations are recorded with ticket-level traceability; for example, action A-RFD-2026-06-27-03 was raised to refine the case note template to better surface compensation rationale, with TD-CP delivery tracked under RFC-RMP-2026-07-143 and UAT evidence filed as QTP-REF-2026-07-143E (UAT window 2026-07-12 to 2026-07-16).

Independent assurance is provided through the Three Lines model. First line executes the process and performs control self-assessments, including monthly KCI testing on case chronology completeness and reconciliation sign-offs (CSA-REF-2026-06 filed 2026-06-28). Second line (COU) conducts thematic monitoring in line with the Compliance Monitoring Plan CMP-2026-REF-02; a Q3 2026 review will reperform a stratified sample of 500 closed cases across products to assess adherence to timeliness standards and fairness criteria. Third line (Internal Audit) has scheduled a targeted audit for 2026-08 under engagement IA-2026-17, with a scope encompassing case lifecycle controls, compensation decision frameworks, and financial integrity of disbursements. All prior audit findings relevant to refunds and compensation have been addressed; notably, IA-2025-09-F2 (case documentation specificity) was closed on 2026-03-12 per closure memo IA-2025-09-CLOSE-03 following deployment of enhanced note prompts.

Record retention and auditability are central to ensuring transparent, reconstructible outcomes. Case records, including submission artifacts, adjudication notes, decision communications, and disbursement confirmations, are retained for seven years from case closure per Retention Schedule RS-FIN-018 and Data Privacy Standard DPS-GEN-05. Each case is anchored by a unique case identifier (e.g., REF-YYYY-MM-DD-NNNNN) and cross-referenced to the corresponding disbursement voucher ID and FSL journal entries, with time-stamped milestones in UTC. Interaction logs from Constellation CRM, including inbound calls, secure messages, and notifications, form part of the permanent audit trail, enabling end-to-end reconstruction. The FCA monthly reconciliation pack (REC-RFD-MM-YYYY) links total approved compensation to posted disbursements and ledger balances; the June 2026 pack (REC-RFD-06-2026) reconciled to within the established tolerance with no unresolved breaks at close (2026-06-30 22:40 UTC).

Change governance ensures stability and measured improvement. Any modification to refund rules, decision matrices, or compensation calibration thresholds is introduced via the formal Request for Change (RFC) process and assessed by the Change Advisory Board - Payments (CAB-PAY). For instance, RFC-TPG-2026-07-143 (adjustment to disbursement window labelling for client communications) received CAB approval on 2026-07-05 and completed non-disruptive implementation on 2026-07-13 02:15 UTC, with post-implementation validation recorded in CHG-PIR-2026-07-143. Business owners file pre-implementation impact assessments (BUS-IA-REF-####) and secure sign-offs attesting that client outcome quality is preserved or enhanced. All evidence is retained in the Enterprise

Change Repository (ECR) with cross-references to CAPA or governance actions where applicable.

Training and competency underpin consistent, fair decisions. All adjudicators, case handlers, and team leads complete onboarding curriculum LMS-REF-101 (Policy and Standards) and LMS-REF-102 (Decisioning and Documentation), followed by annual refresher LMS-REF-201, with assessments tracked in the Learning Management System. As of 2026-06-30, completion for in-scope colleagues was 99.2% (LMS-RPT-2026-06-EOM), with outstanding items already scheduled for completion in early July (tickets HR-EDU-2026-07-0041 to -0043). Periodic calibration sessions led by QAO ensure alignment on case categorization and compensation rationales, with calibration artifacts preserved under QA-CAL-YYYY-MM identifiers. Supervisory reviews are conducted per the Quality Review Framework, and coaching notes are recorded in Constellation CRM against the reviewer record to support continuity and accountability.

Operational resilience is validated through periodic exercises. The most recent scenario test (SIM-2026-04-18-BCP-RFD) validated continuity of refund case intake and adjudication under constrained system availability, confirming that client communications remained timely and accurate and that disbursement confirmations were properly queued for transmission upon restoration. Findings were closed under BCP-FND-2026-04-18-01 through -03 by 2026-05-10, with evidence retained by the Business Continuity Office. Dependencies on partner institutions are inventoried and reviewed quarterly, with Partner Management maintaining a current view of settlement windows and known constraints to inform SLA design and client messaging.

Communications and attestations complete the governance cycle. Following each monthly Refund Governance Forum, a summary note is circulated to the Client Committee on Service Outcomes and the Executive Risk Committee, with key messages, actions, and metric highlights (GOV-MIN-RFD-2026-06 issued 2026-06-28 16:45 UTC). Policy attestations are collected annually (ATT-REF-YYYY) via the enterprise attestation platform, confirming awareness and adherence by all in-scope teams. Queries and requests for clarification are directed to the Policy Owner mailbox (PO-CXO-RFD@meridiancapital.example) and logged under POL-QRY-YYYY-NNNN identifiers in the policy query register for traceability and thematic analysis. Collectively, these governance, assurance, and record-keeping measures ensure that refund and compensation activities remain consistent, transparent, and aligned to Meridian Capital's commitment to fair client outcomes and robust financial integrity.